

9.3

Cost of Goods Sold

The Cost of Goods Sold is the direct cost associated with selling any product.

EXAMPLE

If a company sells toothpaste, the cost to make the toothpaste and package it, is known as the Cost of Goods Sold. It is important to understand that marketing and other indirect costs are not included here, and only direct costs of making the product are included.

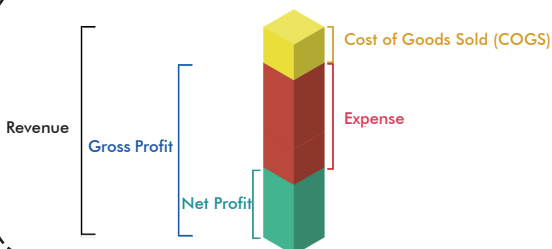


Cost of Goods Sold

COGS						
Gross Profit Margins	55%	56%	54%	49%	53%	54%
Evaluate GPM. Is it due to cost changes or pricing power? High GPM shows huge competitive advantage						
Cyclicalities in prices of raw materials and final						
Compare change in Raw materials prices with actual changes in markets. Economies of scale/ Experience Curve?						
How and why is GPM higher/lower than Competitors						

1. Gross Profit Margin

$$\text{Gross Profit Margin} = \left[\frac{\text{Revenue} - \text{Cost of Goods Sold}}{\text{Revenue}} \right] \times 100$$



Gross Profit Margin is basically the margin left after deducting the direct cost of making a product from its revenue. For example- a company sells toothpaste for 50 rupees, and the cost of making it is 15 rupees. Thus, we can say that $50 - 15 = 35$ rupees is the company's Gross Profit, and the gross profit margin is $(35/50) \times 100 = 70\%$.